Eight Patents · speaker notes

Group 1 · EY for the IDB · 15-minute limit: slots add up to 13:10 at most; expect about 11 to 12 minutes at a steady pace. The one message: **Know-how is not bought. It is cultivated.**

#	Slide	Presenter	Slot (max)	Clicks
1	Title	Nathalie	0:30	
2	Executive summary	Nathalie	1:00	3
3	Eight patents, then Korea	Giulia	0:50	1
4	Inventing and income	Giulia	0:45	
5	Growth has disappointed	Naman	0:45	
6	Cause 1: research spending	Naman	0:35	
7	Cause 2: researchers	Naman	0:30	
8	Cause 3: the capital races ahead	Naman	0:45	
9	Cause 4: informality	Naman	0:40	
10	The climax	Jordan	0:30	
11	Mexico ahead, the swap, the boom	Jordan	0:50	2
12	Korea found its calling	Adi	0:45	1
13	Costa Rica	Jordan	0:40	
14	So what should the IDB do?	Adi	0:25	
15	Move 1: invite foreign firms	Adi	0:50	
16	Move 2: second cities	Jordan	0:40	
17	Move 3: cheaper formal hiring	Adi	0:40	
18	Roll-out and KPIs	Jordan	0:45	
19	The close	Adi	0:45	
20	Sources and notes	Jordan / Adi	–	

- **Wait for the animation, then speak.**
- **Bold words are the ones to hit.** Slow down on numbers.
- **Hand-offs:** bridge line, next name, step back.
- **Present tense, eyes on the room.**
- **No "thank you" at the end.** Pause, then invite questions.

Nathalie

Slides 1, 2 · up to 1:30

Slide 1 · Title · 0:30

"Quick question. How many new inventions did a country of 18 million people register last year? Ten thousand? A thousand? Hold your guess. We'll come back to it."

"We're Group 1 from Ernst & Young. The Inter-American Development Bank, the IDB, the development bank that lends to governments across Latin America and the Caribbean, asked us one question: why has growth in Mexico and Central America been so disappointing?"

Slide 2 · Executive summary · 1:00 · 3 clicks

"Here's our answer in four lines."

"The problem: this region is a **patent desert**. Not one country. All of it."

[CLICK] "The cause: know-how isn't something you're born with. It's cultivated. And this region has lost its focus."

[CLICK] "The fix: **bring in the builders**. Foreign firms that open permanent plants and labs in second cities, and train local firms and workers as they go."

[CLICK] "Our ask: start in **Guatemala**, this year."

"If you remember one thing today: **know-how is not bought. It is cultivated.**"

Hand-off: "Now, back to that guess. Giulia."

Giulia

Slides 3, 4 · up to 1:35

Slide 3 · Eight patents, then Korea · 0:50 · 1 click

Wait for all eight dots to land.

"Here's the answer. Guatemala, 18 million people, filed **eight** patent applications last year. Eight. Every dot on this screen is one of them."

[CLICK] Let the dots move. "Same year, South Korea: **195,786**. Guatemala's eight just shrank to a speck. And Korea has fewer people than Mexico."

Slide 4 · Inventing and income · 0:45

"Does that matter? Across 123 countries, yes. The countries that invent more are richer. Ten times more patents per person goes with about **2.7 times** the income. Korea sits top right. Our region sits low and to the left."

"One honest caveat: patents don't create growth on their own. They're the thermometer, not the medicine. The medicine is know-how."

Hand-off: "And the thermometer says this region is running cold. Naman."

Naman

Slides 5, 6, 7, 8, 9 · up to 3:15

Slide 5 · Growth has disappointed · 0:45

"Here's what running cold looks like. Since 2000, Mexico's income per person has grown **0.3% a year**. That's 7% in twenty-four years."

"Guatemala and Honduras: about 1.5%, below the world average. Korea: 3.1%. Costa Rica is the one exception in our subregion. Keep an eye on it; we'll come back."

"So why? Four causes."

Slide 6 · Cause 1: research spending · 0:35

"Cause one: the region barely pays for research. Korea spends almost **5%** of its economy on it. The OECD, about 3%. Latin America, under 0.7%."

"Our subregion sits at the very bottom: Mexico **0.25%**. Guatemala, almost **zero**. That's not geography. That's a budget line."

Slide 7 · Cause 2: researchers · 0:30

"Cause two: almost nobody is paid to invent. Korea has **9,472** researchers per million people. Chile, about 700. Every country in our subregion is below Chile."

"Guatemala: **1.4** per million. That's about 26 researchers in the whole country."

Slide 8 · Cause 3: the capital races ahead · 0:45

"Cause three: the capital races ahead and leaves the rest behind. Jobs, universities and money pile up in one city, and young people follow. Economists call it backwash."

"Look at the gap between the capital and the poorest region. Korea: **1.3 times**. Costa Rica: 2.5. Guatemala: 4.7. Mexico City is **5.9 times** richer than Chiapas."

Slide 9 · Cause 4: informality · 0:40

"Cause four: hiring someone officially costs extra. Payroll taxes fund health and pensions, so firms stay small and off the books."

"Across our subregion, about **6 in 10** workers are informal. In Guatemala, more than 7 in 10. In Chile, 1 in 4. And a firm that stays hidden never grows, and never learns."

Hand-off: "Put the four causes together, and you get one pattern. Jordan."

Jordan

Slides 10, 11, 13, 16, 18 · up to 3:25

Slide 10 · The climax · 0:30

Slow down. Let the first line land before the orange one appears.

"**Know-how can be cultivated.** *[pause]* This region has lost its focus."

"Four causes, one pattern: it stopped investing in learning. And here's the proof that this is a choice, not destiny."

Slide 11 · Mexico ahead, the swap, the boom · 0:50 · 2 clicks

"Was the region always behind? No. In 1960, Mexico was **four times richer** than South Korea."

[CLICK] "Then Korea caught up. Around 1988, the lines cross."

[CLICK] Let the chart pull back. Pause. "Today Korea is **3.6 times richer**. Same starting line. Completely different finish."

Hand-off: "So what changed? Adi."

Slide 13 · Costa Rica · 0:40

"Costa Rica: the one exception on our growth chart. It went after foreign manufacturers on purpose, through its investment agency, CINDE."

"Those firms brought technology and know-how, and local suppliers and workers learned from them. **FDI brings technology and know-how.** That's not luck. It's focus."

Hand-off: "So what should the IDB do? Adi."

Slide 16 · Move 2: second cities · 0:40

"Move two: second cities, not the capital. The capital is already full; that was cause three."

"So the plants go to second cities, like Quetzaltenango in Guatemala, linked to the towns around them by roads, internet and local suppliers. The jobs spread instead of draining away."

Hand-off: "And for local firms to join in, hiring has to get cheaper. Adi."

Slide 18 · Roll-out and KPIs · 0:45

"Governments last four years. These programmes don't. So: cheap first, big later. First the investment team signs the first firms, then the second-city hubs open, then cheaper hiring phases in."

"Every year we publish three KPIs: inventions per person against Chile and Brazil, jobs outside the capital, and workers on the books. We're not promising a growth number. We're promising to be measured."

Hand-off: "Adi."

Adi

Slides 12, 14, 15, 17, 19 · up to 3:25

Slide 12 · Korea found its calling · 0:45 · 1 click

"In 1980, the two countries were close: Mexico filed 704 patents, Korea 1,241. Two kids, same classroom."

[CLICK] Let the chart pull back. "Then Korea found its calling. It put research at the centre of its economy, and its patents grew **158 times**. Mexico's grew 1.7 times."

Hand-off: "Korea is far away. But someone much closer did it too. Jordan."

Slide 14 · So what should the IDB do? · 0:25

"**Bring in the builders.** Not consultants who advise and leave: firms that build here and stay. Three moves, one for each cause."

Slide 15 · Move 1: invite foreign firms · 0:50

"Move one: invite foreign firms to build here, on one condition: they train locals. Every deal has three conditions: train local suppliers, hire formally, partner with a local university."

"An IDB-funded investment team picks the firms and writes the conditions. That fixes causes one and two: research and researchers grow inside real companies. And the timing is right: factories leaving China are choosing new homes now."

Hand-off: "But where should they go? Jordan."

Slide 17 · Move 3: cheaper formal hiring · 0:40

"Move three: make formal hiring cheaper. Pay for health and pensions from general taxes, not from wages."

"Then the hidden firms from cause four can come onto the books and become suppliers to the foreign plants. Honestly: this costs money before it saves money. That's why it's phased in."

Hand-off: "So how do we roll it out? Jordan."

Slide 19 · The close · 0:45

"Remember the guess at the start? **Eight.** A whole country, one year. In 1980, Korea stood where Mexico stood. The difference wasn't luck. It was focus."

Pause. "**Know-how is not bought. It is cultivated.**"

"So bring in the builders. Start this year, in **Guatemala**: the deepest patent desert in the region, where the first plant will teach the most. In the next 90 days: pick the second city, shortlist the first firms, set the three baselines."

Pause two seconds. Don't say thank you. "We'd love your questions."